
Overview of the US Healthcare System

The US Healthcare System is unique globally. It is neither a single-payer/universal system like those in the UK or Canada, nor does it have unified national pricing. Instead, it operates as a **hybrid system** dominated by the private market and supplemented by government public programs.

1. Four Main Sources of Health Insurance

Because healthcare in the US is extremely expensive and nearly impossible to afford out-of-pocket, most individuals obtain coverage through one of the following channels:

- **Employer-Sponsored Insurance:** Covers approximately 50% of the population. Most employed individuals receive group insurance through their employers, where the company pays the majority of the premium and the employee pays the remaining portion monthly.
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- **Medicare:** A federal public insurance program designed for seniors aged 65 and older, as well as certain individuals with disabilities.
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- **Medicaid:** A joint federal and state program for low-income individuals, impoverished families, and specific eligible disabled groups.
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- **Obamacare / Health Insurance Marketplace:** Designed for freelancers, self-employed individuals, or those without employer-sponsored coverage. Government premium subsidies are available based on household income.
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2. Service Providers & Network Mechanisms

The vast majority of hospitals, clinics, and physicians in the US are private entities. Insurance companies partner with healthcare providers through **medical networks**:

- **In-Network:** Providers have negotiated discounted rates with the insurer. Coverage is significantly higher, resulting in lower out-of-pocket costs for the patient.
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- **Out-of-Network:** Providers have no pre-negotiated agreement with the insurer. Coverage is minimal or non-existent, leaving the patient responsible for extremely high costs.
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Common Insurance Plan Types

- **HMO (Health Maintenance Organization):** Lower premiums, but requires choosing a Primary Care Physician (PCP). Specialist visits require a PCP referral, and out-of-network care is generally not covered.
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- **PPO (Preferred Provider Organization):** Higher premiums, but offers greater flexibility. No specialist referrals are required, and out-of-network care receives partial coverage.
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3. Key Cost Concepts

In addition to the monthly **Premium**, patients typically incur the following out-of-pocket expenses when receiving medical care:

Term	Description
Deductible	The amount you must pay out-of-pocket each year before your insurance begins to cover costs (excluding preventive care).
Copay	A fixed dollar amount paid at the time of service or prescription pickup (e.g., a \$20 clinic copay).
Coinsurance	The percentage of costs shared between you and your insurer after reaching your deductible (e.g., insurance pays 80%, you pay 20%).
Out-of-Pocket Maximum	The maximum amount you will have to pay for covered services in a plan year. Once reached, insurance pays 100% of eligible expenses for the rest of the year.